

In our era of widespread technical know-how it is seldom that large companies can enjoy more than a small part of their activities in areas sheltered by patent protection. Patents are usually able to block off only a few rather than all the ways of accomplishing the same result. For this reason many large companies make no attempt to shut out competition through patent structure, but for relatively modest fees license competition to use their patents and in return expect the same treatment from these licensees. Influences such as manufacturing know-how, sales and service organization, customer good will, and knowledge of customer problems are depended on far more than patents to maintain a competitive position. In fact, when large companies depend chiefly on patent protection for the maintenance of their profit margin, it is usually more a sign of investment weakness than strength. Patents do not run on indefinitely. When the patent protection is no longer there, the company's profit may suffer badly.

The young company just starting to develop its production, sales, and service organization, and in the early stages of establishing customer good will is in a very different position. Without patents its products might be copied by large entrenched enterprises which could use their established channels of customer relationship to put the small young competitor out of business. For small companies in the early years of marketing unique products or services, the investor should therefore closely scrutinize the patent position. He should get information from qualified sources as to how broad the protection actually may be. It is one thing to get a patent on a device. It may be quite another to get protection that will prevent others from making it in a slightly different way. Even here, however, engineering that is constantly improving the product can prove considerably more advantageous than mere static patent protection.

For example, a few years ago when it was a much smaller organization than as of today, a young West Coast electronic manufacturer had great success with a new product. One of the giants of the industry made what was described to me as a "Chinese copy" and marketed it under its well-known trade name. In the opinion of the young company's designer, this large competitor managed to engineer all the small company's engineering mistakes into the model along with the good points. The large company's model came out at just the time the small manufacturer introduced its own improved model with the weak points eliminated. With a product that was not selling, the large company withdrew from the field. As has been true